



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Peter and Fiona Mitchell

Of

5 Manor Street
BRIGHTON VIC 3186

Prepared on:

27th October 2021

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

27/10/2021

Peter and Fiona Mitchell
5 Manor Street
Brighton VIC 3186

Dear Peter and Fiona,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation Structure
- Retirement Planning
- Personal Insurances

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Peter and Fiona, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio to determine appropriate strategies and structure moving forward.
- Assess appropriate strategies to transition to retirement in the most tax effective manner.
- Review your personal insurances.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Peter	Fiona
Surname	Mitchell	Mitchell
Gender	M	F
Date of Birth	7/01/1959	12/01/1962
Age Last Birthday	62	59
Marital Status	Married	Married

Employment Details

Employment Status	Full time mix of public & private	Private Practice
Occupation	Doctor - Radiologist	Psychologist

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Brighton residential property	\$4,000,000
Motor vehicles	\$100,000
Total Lifestyle Assets	\$4,100,000

Investment Assets	Value
Lorne investment property	\$1,800,000
Queensland investment property	\$1,100,000
Share portfolio	\$80,000
Managed fund portfolio	\$220,000
Cash at bank	\$60,000
Total Investment Assets	\$3,260,000

Superannuation Assets	
Peter	
Colonial First State	\$1,239,720
Australian Super	\$155,713
Fiona	
Hesta	\$372,087
Total Superannuation Assets	\$1,767,520

Total ASSETS	\$9,127,520
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LIABILITIES

Lorne property loan	\$5,000
Queensland property loan	\$620,000
Total Liabilities	\$625,000

NET WORTH	\$8,502,520
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you both have **Balanced** investor risk profiles. However, based on these responses, our discussions and timeline in terms of when you may need to draw down on superannuation, you may fit between a Balanced and Growth Investor Risk Profile i.e. **Balanced to Growth**.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **Growth** investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth-oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5-year horizon while their portfolio builds a growing income stream and capital growth.

A **Balanced** investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Taking the above into consideration, a **Balanced to Growth** investor will typically diversify their investment in the following manner:

Australian Shares	38%
International Shares	22%
Fixed Interest	20%
Property	15%
Cash	5%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute

Superannuation Structure (Accumulation Phase v Pension Phase)

Peter and Fiona, you currently have the following approximate superannuation balances:

Super Fund	Peter	Fiona
Colonial First State First Choice Wholesale Personal Super	\$1,239,720	
Australian Super	\$155,713	
Hesta		\$372,087
TOTAL	\$1,395,433	\$372,087

Your superannuation funds are currently in Accumulation Phase where all income is taxed at 15%.

Current legislation allows you (as you have reached preservation age) to convert your superannuation to Pension Phase and commence an income stream with your superannuation monies. The following must be considered when determining whether or not a move to Pension Phase is appropriate:

- In Pension Phase, you are obliged to draw out a minimum income stream of 4% of the fund balance each year. This minimum 4% has actually been reduced to 2% for the 2021/22 Financial Year as part of the Government introduced Covid relief measures. From age 60, all income received from this income stream is tax free.
- Based on your overall superannuation balances, if you were to have all of your superannuation in 'pension phase', these amounts for the 2021/22 Financial Year are estimated to be:
 - Peter - \$1,395,433 @ 2% = **\$27,909**
 - Fiona - \$ 372,087 @ 2% = **\$ 7,442**
- In the 2022/23 Financial Year, the minimum income stream will revert back to 4%. Hence, based on these balances, the annual minimum drawdown would be:
 - Peter - \$1,395,433 @ 4% = **\$55,818**
 - Fiona - \$ 372,087 @ 4% = **\$14,884**
- **While you are still working and under age 65, the taxation of earnings within the fund will remain at 15%.**
- Once you either cease working or reach age 65, the taxation on earnings within the fund will reduce to 0%.
- The additional income received from your pre-retirement income stream may allow you to make additional contributions to superannuation in the form of personal concessional contributions. These are pre-tax contributions and therefore result in a reduction of assessable income. These superannuation contributions are concessionally taxed at a maximum of 15% as opposed to marginal tax rates of up to 47%.

Recommendation:

- As you are still working, tax on earnings within the fund will remain at 15% until you reach age 65 or cease working. Therefore, there is no significant benefit of moving to pension phase at this stage.
- Consider moving your superannuation from 'accumulation' to 'pension' phase:
 - a) if you do not have the ability to make the maximum personal concessional contributions to superannuation each year;
 - b) once you cease working or reach age 65 (whichever is earlier)

Personal Concessional Contributions to Superannuation

Peter and Fiona, the concessional superannuation contribution cap in previous years was \$25,000 per annum. In the 2021/22 financial year, this cap has increased to \$27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.

Fiona, as your total superannuation balance is less than \$500,000 you are eligible to make 'catch up' concessional contributions.

Recommendation:

- **Fiona**, if you have not made the maximum \$25,000 contribution in each year since 2018/19, consider making 'catch up' personal concessional contributions to superannuation.
- **Peter and Fiona**, ensure you each reach the \$27,500 concessional contribution cap in the 2021/22 financial year and each year thereafter whilst you are still working.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to your marginal tax rate if taken as income.
- You have increased your combined NET superannuation contributions to build a capital base to meet your retirement income goals.

Superannuation Funds - Peter

Peter, you currently have the following approximate superannuation balances:

➤ Colonial First State – First Choice Wholesale Personal Super	\$1,239,720
➤ Australian Super	<u>\$ 155,713</u>
TOTAL	\$1,395,433

You effectively have three options in terms of how your existing superannuation monies are structured:

- Retain your existing superannuation structure and asset allocation
- Retain the existing superannuation structure and alter the asset allocation
- Consider an alternative superannuation platform.

To enable you to make an informed decision, we have assessed each of these options in terms of fees, historical performance and asset allocation compared to your Investor Risk Profile.

Investments Within Superannuation

Colonial First State – First Choice Wholesale Personal Super – Account Number 011025867553

Peter, you have a superannuation fund with Colonial First State invested in 12 underlying funds as follows:

	% of portfolio
First Choice Global Infrastructure	5.03%
CFS Index Australian Bond	11.88%
CFS Index Australian Share	7.96%
CFS Index global share	11.91%
FSI Strategic Cash	15.20%
Macquarie Income Opportunities	10.09%
PIMCO WS Global Bond	13.02%
Bennelong ex 20 Australian Equities	4.09%
Schroder Australian Equities	4.04%
Magellan Global Shares	5.89%
Platinum Int'l	5.89%
AMP Global Property Securities	5.00%
	100.00%

These underlying funds make up the following asset allocation:

Asset Class	% of Portfolio
Australian Shares	16.00%
International Shares	24.05%
Property	10.06%
Fixed Interest	34.94%
Cash	14.95%
	100%

Current Colonial First State Super Portfolio Profile Compared to 'Balanced to Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced to Growth Portfolio	Deviation
Australian Shares	16.00%	38%	-22.00%
International Shares	24.05%	22%	+2.05%
Property	10.06%	15%	-4.94%
Fixed Interest	34.94%	20%	+14.94%
Cash	14.95%	5%	+9.95%

The historical performance of your existing Colonial First State portfolio at 30/06/21 is:

	% of portfolio	1 year	3 years (p.a.)
First Choice Global Infrastructure	5%	13.37%	5.34%
CFS Index Australian Bond	12%	-1.15%	3.32%
CFS Index Australian Share	8%	25.04%	9.43%
CFS Index Global share	12%	24.13%	12.91%
FSI Strategic Cash	15%	0.21%	0.87%
Macquarie Income Opportunities	10%	2.29%	1.98%
PIMCO WS Global Bond	13%	1.28%	3.33%
Bennelong ex 20 Australian Equities	4%	39.45%	11.34%
Schroder Australian Equities	4%	24.85%	7.93%
Magellan Global Shares	6%	9.58%	11.36%
Platinum Int'l	6%	21.31%	5.67%
AMP Global Property Securities	5%	27.74%	7.00%
	100.00%	11.66%	5.85%

Australian Super – Account Number 1074075517

Peter, you also have a superannuation fund with Australian Super invested in the 'Balanced' option.

The asset allocation of the 'Balanced' option is:

Asset Class	% of Portfolio
Australian Shares	22.70%
International Shares	33.50%
Property	19.70%
Fixed Interest	12.30%
Cash	6.80%
Private Equity	5.00%
	100%

Current Australian Super Portfolio Profile Compared to 'Balanced to Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced to Growth Portfolio	Deviation
Australian Shares	22.70%	38%	-15.30%
International Shares	33.50%	22%	+11.50%
Property	19.70%	15%	+4.70%
Fixed Interest	12.30%	20%	-7.70%
Cash	6.80%	5%	+1.80%
Private Equity	5.00%	0%	+5.00%

Australian Super 'Balanced' Historical Performance at 30/06/21

	1 year	3 years (p.a.)
Australian Super Balanced option	20.43%	9.56%

For Consideration

- Your Australian Super fund is invested closer to a 'Balanced to Growth' asset allocation than a 'Balanced' allocation even though it is in their pre-mixed 'Balanced' option. It has 24.10% in Defensive Assets and 75.90% in Growth Assets. A 'Balanced to Growth' asset allocation has 25% in Defensive Assets and 75% in Growth Assets.
- Consideration should be given to either
 - a) Maintaining the existing underlying funds within your Colonial First State platform and changing the weightings to be in line with a 'Balanced to Growth' asset allocation; or
 - b) Changing the underlying funds in line with the suggested 'Balanced to Growth' model portfolio

a) Existing Colonial First State Wholesale Super underlying funds re-weighted:

	% of portfolio
First Choice Global Infrastructure	8%
CFS Index Australian Bond	5%
CFS Index Australian Share	14%
CFS Index Global share	10%
FSI Strategic Cash	5%
Macquarie Income Opportunities	10%
PIMCO WS Global Bond	5%
Bennelong ex 20 Australian Equities	10%
Schroder Australian Equities	14%
Magellan Global Shares	6%
Platinum Int'l	6%
AMP Global Property Securities	7%
	100.00%

These underlying funds make up the following asset allocation:

Asset Class	% of Portfolio
Australian Shares	38%
International Shares	22%
Property	15%
Fixed Interest	20%
Cash	5%
	100%

Performance of Existing Colonial First State Wholesale Super underlying funds re-weighted at 30/06/21

	% of portfolio	1 year	3 years (p.a.)
First Choice Global Infrastructure	8%	13.37%	5.34%
CFS Index Australian Bond	5%	-1.15%	3.32%
CFS Index Australian Share	14%	25.04%	9.43%
CFS Index Global share	10%	24.13%	12.91%
FSI Strategic Cash	5%	0.21%	0.87%
Macquarie Income Opportunities	10%	2.29%	1.98%
PIMCO WS Global Bond	5%	1.28%	3.33%
Bennelong ex 20 Australian Equities	10%	39.45%	11.34%
Schroder Australian Equities	14%	24.85%	7.93%
Magellan Global Shares	6%	9.58%	11.36%
Platinum Int'l	6%	21.31%	5.67%
AMP Global Property Securities	7%	27.74%	7.00%
	100.00%	18.45%	7.37%

b) Changing the underlying funds in line with the suggested 'Balanced to Growth' model portfolio

	% of portfolio
Pendal Wholesale Australia Share	10%
First Sentier Wholesale Aust. Small Companies	18%
Colonial First State Wholesale Index Australian Share	10%
Colonial First State Wholesale Index Global Share	7%
T Rowe Price Wholesale Global Equity	20%
Pendal Wholesale Property Investment	5%
Colonial First State Wholesale Index Property Securities	5%
Firstchoice Wholesale Fixed Interest	20%
FSI Strategic Cash	5%
	100.00%

These underlying funds make up the following asset allocation:

Asset Class	% of Portfolio
Australian Shares	38%
International Shares	22%
Property	15%
Fixed Interest	20%
Cash	5%
	100%

Performance of alternative 'Balanced to Growth' model portfolio at 30/06/21

	% of portfolio	1 year	3 years (p.a.)
Pendal Wholesale Australia Share	10%	27.06%	9.32%
First Sentier Wholesale Aust. Small Companies	18%	36.70%	15.43%
Colonial First State Wholesale Index Australian Share	10%	25.04%	9.43%
Colonial First State Wholesale Index Global Share	7%	24.13%	12.91%
T Rowe Price Wholesale Global Equity	20%	28.62%	19.27%
Pendal Wholesale Property Investment	5%	29.72%	9.45%
Colonial First State Wholesale Index Property Securities	5%	28.99%	6.87%
Firstchoice Wholesale Fixed Interest	20%	0.40%	3.49%
FSI Strategic Cash	5%	0.21%	0.87%
	100.00%	22.26%	10.97%

Benefits:

- The alternative portfolio has outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You have access to a wide range of investment options which cannot be accessed in your Australian Super fund.
- The wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Peter

Type of Fee or Cost	Australian Super	Colonial First State Wholesale Super (existing)	Colonial First State Wholesale Super (alterantive potrtfolio)
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	\$117 + 0.04% p.a. +	Nil	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	Nil	To be discussed
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.50% p.a. (built into performance figures)	1.08% p.a. (built into performance figures)	0.98% p.a. (built into performance figures)
Annual average cost on total \$155,713 investment	\$958	N/A	N/A
Annual average cost on total \$1,239,720 investment	N/A	\$13,389	N/A
Annual average cost* - Total \$1,395,433 investment	\$14,347 p.a.		\$13,678 p.a.

- The Colonial First State Wholesale alternative ‘Balanced to Growth’ portfolio has **outperformed** your current Colonial portfolio (when re-weighted to compare apples with apples) over the past 3 years by an average of **3.60% p.a.** Based on your current balance, **this equates to \$44,630 p.a. (\$133,890 over a 3-year period).**
- The Colonial First State Wholesale alternative ‘Balanced to Growth’ portfolio has **outperformed** your current Australian Super fund over the past 3 years by an average of **1.41% p.a.** Based on your current balance, **this equates to \$2,196 p.a. (\$6,588 over a 3-year period).**

Superannuation Funds - Fiona

Fiona, you currently have the following approximate superannuation balance:

- Hesta Super \$ 327,087

You effectively have two options in terms of how your existing superannuation monies are structured:

- Retain your existing superannuation structure and asset allocation
- Consider an alternative superannuation platform.

To enable you to make an informed decision, we have assessed each of these options in terms of fees, historical performance and asset allocation compared to your Investor Risk Profile.

Investments Within Superannuation

Hesta Super – Account Number 8432284

Fiona, you also have a superannuation fund with Hesta Super invested in the ‘Balanced Growth’ option.

The asset allocation of the ‘Balanced Growth’ option is:

Asset Class	% of Portfolio
Australian Shares	24%
International Shares	30%
Property	16%
Fixed Interest	19%
Cash	5%
Alternatives	2%
Private Equity	4%
	100%

Current Hesta Super Portfolio Profile Compared to 'Balanced to Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced to Growth Portfolio	Deviation
Australian Shares	24%	38%	-14%
International Shares	30%	22%	+8%
Property	16%	15%	+1%
Fixed Interest	19%	20%	-1%
Cash	5%	5%	-
Alternatives	2%	0%	+2%
Private Equity	4%	0%	+4%

Hesta Super 'Balanced Growth' Historical Performance at 30/06/21

	1 year	3 years (p.a.)
Hesta Super Balanced Growth option	19.03%	8.48%

For Consideration

- Your Australian Super fund is invested with a 'Balanced to Growth' asset allocation.
- Consideration should be given to the alternative Wholesale platform as outlined below:

	% of portfolio
Pendal Wholesale Australia Share	10%
First Sentier Wholesale Aust. Small Companies	18%
Colonial First State Wholesale Index Australian Share	10%
Colonial First State Wholesale Index Global Share	7%
T Rowe Price Wholesale Global Equity	20%
Pendal Wholesale Property Investment	5%
Colonial First State Wholesale Index Property Securities	5%
Firstchoice Wholesale Fixed Interest	20%
FSI Strategic Cash	5%
	100.00%

These underlying funds make up the following asset allocation:

Asset Class	% of Portfolio
Australian Shares	38%
International Shares	22%
Property	15%
Fixed Interest	20%
Cash	5%
	100%

Performance of *alternative 'Balanced to Growth' model portfolio* at 30/06/21

	% of portfolio	1 year	3 years (p.a.)
Pendal Wholesale Australia Share	10%	27.06%	9.32%
First Sentier Wholesale Aust. Small Companies	18%	36.70%	15.43%
Colonial First State Wholesale Index Australian Share	10%	25.04%	9.43%
Colonial First State Wholesale Index Global Share	7%	24.13%	12.91%
T Rowe Price Wholesale Global Equity	20%	28.62%	19.27%
Pendal Wholesale Property Investment	5%	29.72%	9.45%
Colonial First State Wholesale Index Property Securities	5%	28.99%	6.87%
Firstchoice Wholesale Fixed Interest	20%	0.40%	3.49%
FSI Strategic Cash	5%	0.21%	0.87%
	100.00%	22.26%	10.97%

Benefits:

- As previously outlined on Page 23.

Replacement of an Existing Product

Fiona

Type of Fee or Cost	Hesta Super	Colonial First State Wholesale Super (alterantive potrtfolio)
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	\$65 + 0.08% p.a. +	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	To be discussed
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.82% p.a. (built into performance figures)	0.98% p.a. (built into performance figures)
Annual average cost on total \$327,087 investment	\$3,009	\$3,205

- The Colonial First State Wholesale alternative ‘Balanced to Growth’ portfolio has **outperformed** your current Hesta portfolio over the past 3 years by an average of **2.49%** p.a. Based on your current balance, **this equates to \$8,144 p.a. (\$24,432 over a 3-year period).**

Superannuation Estate Planning

Superannuation does not automatically form part of a person's estate. A member can, however, elect to include their super death benefit in their estate by completing a binding and/or non-lapsing death benefit nomination in favour of their estate. In this way, the member can provide for the distribution of their super death benefit in accordance with their Will.

Peter and **Fiona**, you have currently nominated each other as the beneficiary of your respective superannuation funds.

Recommendation:

- To ensure your superannuation monies are linked to your Wills, change the nominations on your respective superannuation funds to Binding Death Benefit Nominations to your Estate.

Personal Insurances

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

Peter, you currently have the following insurance cover in place:

Mercer (Self-Owned) – Policy #7305902

Life Insurance: \$660,895
Premium: \$542.28 p.m. (\$6,507 p.a.)

Asteron (Self-Owned) – Policy #E3025851

Life Insurance: \$422,130
Premium: \$409.20 p.m. (\$4,910 p.a.)

Asteron (Self-Owned) – Policy #E3025852

Income Protection: \$25,335 p.m.
Premium: \$1,087.13 p.m. (\$13,046 p.a.)
Benefit period to age 65
Waiting period of 730 days (2 years)

Recommendations:

- In light of your medical history (i.e. malignant melanoma in 2020), you would be unable to obtain alternative cover with another insurer. It is therefore recommended to maintain your existing Life Insurance policies.
- As your Income Protection policy has a two year waiting period and a benefit period to age 65, there is no benefit in maintaining this policy from age 63.

Retirement Capital Projections

Peter and Fiona, we have taken the liberty of providing superannuation retirement projections based on the following assumptions:

- Your respective funds continue to receive maximum concessional contributions for the next three years.
- Capital value of superannuation increases by 6.0% p.a. and 4% p.a.
- Superannuation is converted from an Accumulation Fund to an Allocated Pension in three years' time.
- Minimum income stream is drawn down from the Allocated Pension on an annual basis at retirement as per below:

Age	Minimum annual pension payment from 2022/23
Under 65	4%
65-74	5%
75-79	6%
80-84	7%
85-89	9%
90-94	11%
95+	14%

Retirement Projections

We have calculated your projected superannuation capital position in 20 years' time.

A summary of these projections is detailed in the following table:

Scenario	Value of superannuation capital in 20 years
6% p.a. increase in superannuation capital	\$2,119,708
4% p.a. increase in superannuation capital	\$1,421,799

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

What is paid to your adviser

Plan Fee

As part of the recent Asteron Insurance claim, you are entitled to an additional Financial Planning benefit of \$2,500 which covers the fee for this Statement of Advice.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Retirement Capital Projections
